

THE HOLY GRAIL OF TRADING

Comprehensive Session Notes

Instructor: Mr. Balakrishna

Topic: NRC, WRC, Price Structures & Breakout/Breakdown Trading

Class 2 - Market Dynamics

1. Introduction — Why Most Breakout Trades Fail

This session addresses one of the most critical topics for traders: understanding when to wait after a breakout or breakdown, and when not to. Balakrishna opens with a crucial insight — the majority of traders who take breakout and breakdown trades end up failing, and this session explains exactly why.

1.1 The Core Problem

- 99% of traders expect the market to move in a straight line after they enter a trade.
- When they buy, they expect the price to keep rising without stopping.
- When they sell, they expect the price to keep falling without pausing.
- This expectation is unrealistic — markets never move in straight lines.

Key Insight: The market always moves in a stop-and-go pattern. It expands, then pauses, then expands again. Both phases — movement and rest — are essential and complement each other.

□ **Note:** *Think of it like a long road trip: you travel for a while, take a break to rest and refuel, then continue. The rest is not wasted time — it gives you the energy to complete the journey. Markets behave the same way.*

1.2 The Two Phases of Market Movement

Phase	Description
Expansion (Movement)	Price travels in a direction — upward or downward — covering distance.
Consolidation (Rest)	Price halts and moves sideways in a range, gathering energy for the next move.

Both phases are necessary and interconnected. Without consolidation, there can be no expansion. The market creates its own energy during consolidation — no external force provides it.

2. The Two Price Structures: NRC and WRC

During the consolidation (resting) phase, the market forms one of two specific structures. Understanding the difference between these two structures is the foundation of this trading approach.

Structure	Full Name
NRC — Narrow Range Consolidation	Price is stuck in a very tight, small range — storing energy for a powerful breakout.
WRC — Wide Range Consolidation	Price moves in a wide range, oscillating between support and resistance — spending energy, leading to failed breakouts.

2.1 NRC — Narrow Range Consolidation (Price Blast Structure)

What is NRC?

- Price is stuck in a very small, tight range for an extended period.
- It is neither moving up nor down — it is compressed.
- During this time, price is NOT spending energy; instead, it is storing it.
- This structure is also called the Price Blast Structure because of what happens after.

The Analogy — Kidnapped in a 3x3 Room

Imagine being kidnapped and locked in a tiny 3x3 room for 5 days. You cannot sleep comfortably, you cannot walk, you cannot run. Your energy is completely suppressed. On the sixth day, the door opens. What do you do? You run with full force — you blast out.

This is exactly how NRC behaves. Price is compressed for a long time, storing energy. The moment a breakout or breakdown occurs, price blasts out with full force — without giving any pullback.

Critical Rule: After a breakout from NRC, price will NOT give a pullback. Do not wait for a pullback to enter — you will miss the move entirely.

How to Identify NRC on a Chart

- Look for a large candle — this is the Mother Candle.
- After the Mother Candle, observe the subsequent candles (called Baby Candles).
- In a valid NRC, the maximum body of most baby candles should be contained within the range of the Mother Candle.
- Count the baby candles — the more, the stronger the NRC (e.g., 17 candles inside the mother candle's range is a very strong NRC).
- Mark the Highest High and Lowest Low of all candles in the NRC zone.
- These two lines form the NRC boundary — the breakout zone to watch.

□ **Note:** *Volume confirmation: While volume is not mandatory, if the breakout candle shows higher volume than the preceding candles inside the NRC, it adds confirmation to the trade.*

Trading Rules for NRC

- NEVER trade inside the NRC. Price is not moving — there is no trade opportunity.
- Wait for a breakout (above the highest high) or a breakdown (below the lowest low).
- Once the breakout happens, take the trade in the direction of the breakout.
- Do not expect a pullback — take the trade at the breakout level.
- The post-breakout move is fast and sharp, with no retracement.

2.2 WRC — Wide Range Consolidation (Price Rotation Structure)

What is WRC?

- Price is moving in a wide range — oscillating between a defined support and resistance level.
- Unlike NRC, price here IS moving — it is traveling from one boundary to the other.
- Because price is active and moving, it is spending energy.
- This is also called the Price Rotation Structure because price rotates between two levels.

The Analogy — Comfortable House Under Confinement

Imagine being confined in a large, comfortable house with food, TV, and space to move around. You can eat, walk, and enjoy yourself. When someone opens the front door, you don't have the same desperate urge to run out — you are comfortable. You may step out briefly, then come back.

This is how WRC works. Price has space, it is moving, and it keeps spending its energy. When it reaches the resistance or support boundary, it tries to break out — but it is exhausted. It fails and returns back inside the range.

Critical Rule: In a WRC, 85% of breakout and breakdown attempts will FAIL. This is the high-probability trade — fading the breakout.

Why Do WRC Breakouts Fail?

- Price has been traveling inside the WRC, constantly spending energy.
- By the time price reaches resistance to attempt a breakout, it has used up most of its energy.
- To break through a resistance level, extra energy is required.
- Since there is no extra energy available, the breakout fails and price reverses.
- Same logic applies for breakdowns — price arrives at support exhausted and reverses back up.

Trading the WRC — Multiple Trade Opportunities

- Inside the WRC, you CAN take trades as price oscillates between support and resistance.
- Look for Breakout Failure at the resistance — short the market when the breakout fails.
- Look for Breakdown Failure at the support — buy the market when the breakdown fails.
- This rotation can happen multiple times within the same WRC, providing multiple profitable trades.

□ **Note:** The WRC is excellent for range trading. You make money on both sides — buying near support (breakdown failure) and selling near resistance (breakout failure).

3. NRC vs WRC — Comparative Summary

Criteria	NRC (Narrow Range Consolidation)	WRC (Wide Range Consolidation)
Range Size	Very tight / small	Wide / large
Price Activity	Price barely moves — compressed	Price actively oscillates between levels
Energy State	Storing energy	Spending energy
Breakout Outcome	Breakout is REAL — price blasts out	85% of breakouts FAIL — price reverses
Pullback After Breakout	No pullback — enter at breakout	Reversal back into range
Trade Strategy	Trade after breakout, in the direction of break	Trade inside range; fade breakout/breakdown failures
Trade Inside Range?	NO — do not trade inside NRC	YES — take trades inside WRC at both boundaries
Nickname	Price Blast Structure	Price Rotation Structure

4. Price Expansion, Origin, and WRC Trading in Action

Understanding the concept of Price Expansion and the Origin of a move is essential for trading the WRC effectively.

4.1 Price Expansion

- When market halts (consolidates), it generates energy.
- Once sufficient energy is gathered, the market expands — it moves powerfully in one direction.
- Example: Price moves from 1 rupee to 50 rupees with a strong move. It then halts, gathers energy, and expands from 50 rupees to 120 rupees without stopping. This continuous move is called Price Expansion.

4.2 The Concept of Origin

Every significant price move (expansion) has an Origin — the starting point of that move. Identifying the origin is a key skill in the WRC trading strategy.

- When price makes a big move upward (from 50 to 120), the Origin of that high (120) is the starting point of the move (50).
- When price makes a big move downward (from 120 to 48), the Origin of that low (48) is 120.
- Draw a horizontal support or resistance line at the Origin level.
- When price returns to the Origin and attempts to break through it, it will likely fail — this is your trade entry point.

□ **Note:** *The Origin concept is the backbone of WRC trading. The Origin of the high becomes resistance, and the Origin of the low becomes support. These are your trading zones.*

4.3 Step-by-Step WRC Trading Example

Here is how a full WRC trading cycle plays out:

- Step 1: Price is at 1 rupee. It consolidates and then expands to 50 rupees.
- Step 2: From 50 rupees, price expands strongly to 120 rupees (Price Expansion). The Origin of this move is 50.
- Step 3: Price is now at 120. It tries to break out above 120 — but fails (WRC breakout failure). Draw resistance at 120.
- Step 4: Price falls from 120 back towards 50 (the Origin). Draw a support line at 50.
- Step 5: Price reaches 50, tries to break down — fails (WRC breakdown failure). This is a BUY opportunity.
- Step 6: Price reverses upward. The Origin of this low (50) was 120. Mark resistance again at 120.

- Step 7: Price rallies back toward 120. At 120, it tries to break out — fails again. This is a SELL opportunity.
- Step 8: The cycle repeats, with minor adjustments to the support/resistance levels as new highs and lows form (e.g., support shifts from 50 to 48 as the swing low changes).

Trading the Failure: You are not trading the breakout — you are trading the FAILURE of the breakout. This is the edge. 85% of breakouts from a WRC fail.

5. Using Order Flow for Trade Entry

Balakrishna briefly introduced the concept of using Order Flow as a precision tool for entries within the WRC strategy.

5.1 What is BMC?

- BMC (Bullish Market Candle or Buying Market Candle — precise term to be confirmed in advanced sessions) is a pattern used for entry confirmation.
- BMC should be identified at or near the support level within the WRC.
- The process: Mark the High and Low of the BMC pattern. When the High of the BMC is broken, take the Buy trade.
- This gives a very precise entry near the bottom of the WRC range — capturing the move from support to resistance.

□ **Note:** Order Flow usage in detail — including how to apply it for both buy and sell trades — will be covered in upcoming advanced sessions.

6. Key Rules & Golden Takeaways

#	Golden Rule
1	NEVER trade inside the NRC. There is no opportunity — price is compressed. Wait for the breakout.
2	After a breakout from NRC, do NOT wait for a pullback. Price will not pull back — it will blast in the breakout direction.
3	Inside a WRC, 85% of breakout and breakdown attempts FAIL. Expect the failure and trade accordingly.
4	Mark the Origin of every significant price move. The Origin becomes your next key support or resistance level.

5	In a WRC, buy near support (when breakdown fails) and sell near resistance (when breakout fails).
6	Use Order Flow (BMC pattern) at the support/resistance zones for precise trade entries.
7	Understanding the difference between NRC and WRC prevents you from making the most common breakout trading mistakes.
8	Market always moves by halting and moving. The halt is not weakness — it is energy accumulation for the next move.

7. Glossary of Key Terms

Term	Definition
NRC	Narrow Range Consolidation. A tight price range where energy is stored. Also called the Price Blast Structure.
WRC	Wide Range Consolidation. A wide price range where energy is spent. Also called the Price Rotation Structure.
Price Expansion	A strong directional move in the market after energy is gathered during consolidation.
Origin	The starting point of a price expansion. Acts as a key support or resistance level when price returns to it.
Mother Candle	The large candle that defines the boundary of an NRC. Subsequent baby candles are contained within its range.
Baby Candle	Any candle after the Mother Candle whose body is contained within the range of the Mother Candle.
Breakout	Price moving above the resistance level of a consolidation zone.
Breakdown	Price moving below the support level of a consolidation zone.
Breakout Failure	When price breaks through a level but cannot sustain the move and reverses back — common in WRC.
Pullback	A temporary price reversal in the direction opposite to the trend. NRC breakouts do NOT give pullbacks.
Support	A horizontal level where price tends to find buying interest and stop falling.
Resistance	A horizontal level where price tends to find selling pressure and stop rising.
BMC	Bullish Market Candle — a pattern near support used for precise buy entry confirmation via Order Flow.
Order Flow	Advanced technique for identifying precise entry points at support and resistance levels.
Price Block Structure	Another name for NRC — the structure where price is blocked in a tight range.

Price Rotation Structure	Another name for WRC — price rotates between two levels.
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8. Practice Tips & Study Guidance

Balakrishna emphasised the importance of practice and patience. Here are the key study recommendations from the session:

- Watch the recording of this session at least 1-2 times if the concepts are not fully clear on the first viewing.
- Practice identifying NRC and WRC patterns on historical charts before applying them to live markets.
- Start with identifying the Mother Candle and drawing the NRC boundaries. Practice marking the Highest High and Lowest Low.
- For WRC practice, look at any sideways-moving chart and try to identify: the Origin of each expansion, the WRC boundaries, and where breakout failures occurred.
- Do not rush into trading before mastering the identification of these structures.
- Activate the Pro Charting tool (TradingView Pro) using the discount code provided: MBINRESEARCH — apply this in the promo code section.

□ **Note:** *Do not rush into crypto or other instruments until the core concepts — NRC, WRC, Origin, and Order Flow — are fully understood and consistently identifiable on charts.*

Balakrishna's Advice: Every person learns at a different pace. If something is not clear, do not panic — watch the recording again. The concepts will become clear with repeated exposure and practice. Give yourself time.

End of Session Notes

Prepared by Azam (Bootcamp Manager)